

palmsource™

PalmSource Seminar Series
Build Tomorrow ▸▸▸ Today

**Presented By:**
**David Nagel**
**President &**
**CEO**

palm™
POWERED

# Building the Palm Powered Tomorrow

# PalmSource, Inc.

The Company
Behind the Palm OS®

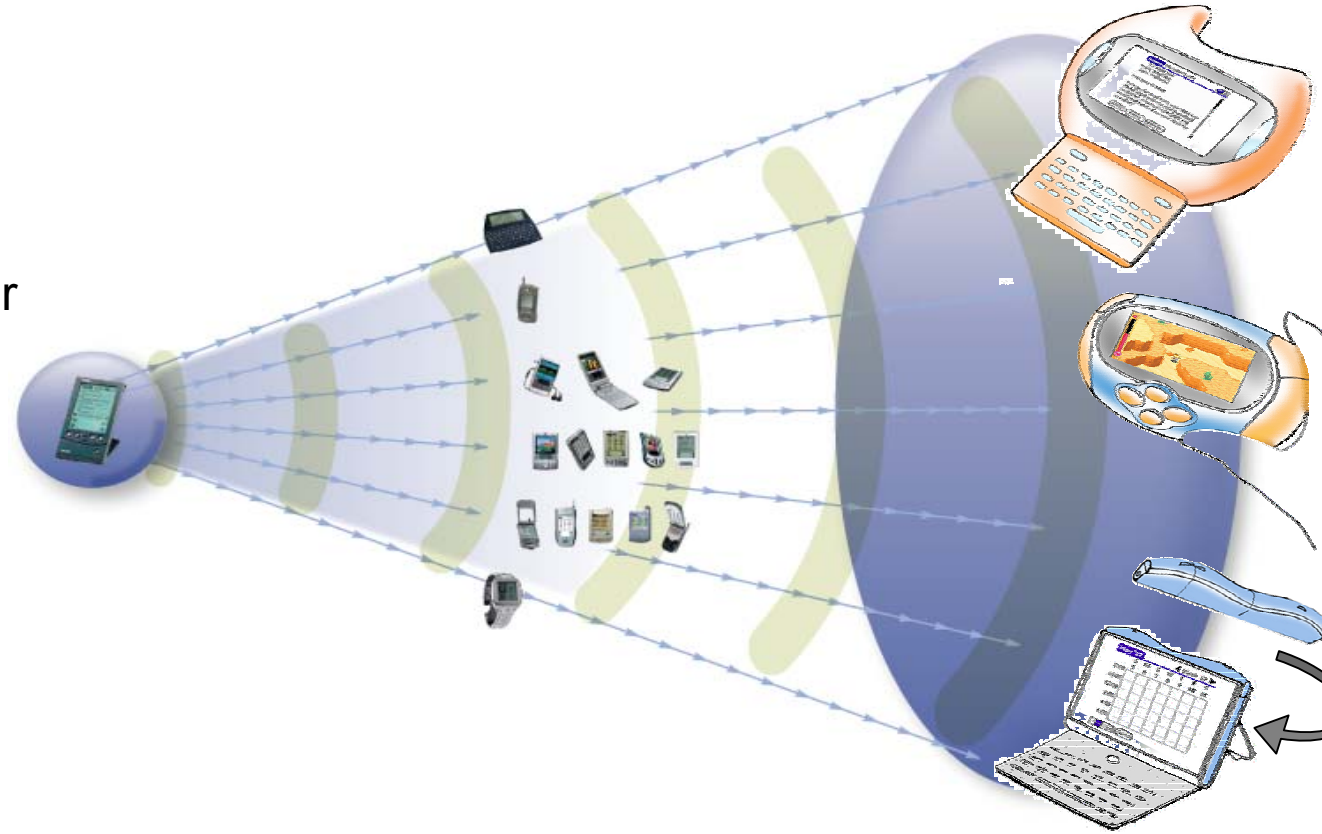
The Gold Standard
for Mobility

- **Global leadership in handheld/smartphone OS**
- **28M installed base; 20M+ users**
- **Powerful brand**
- **Largest developer base with 260,000 and growing**
- **Largest base of applications, content and accessory products in the industry**
- **Setting the standard for choice and ease of use**

# Growing From a Simple Powerful Idea

Organizer



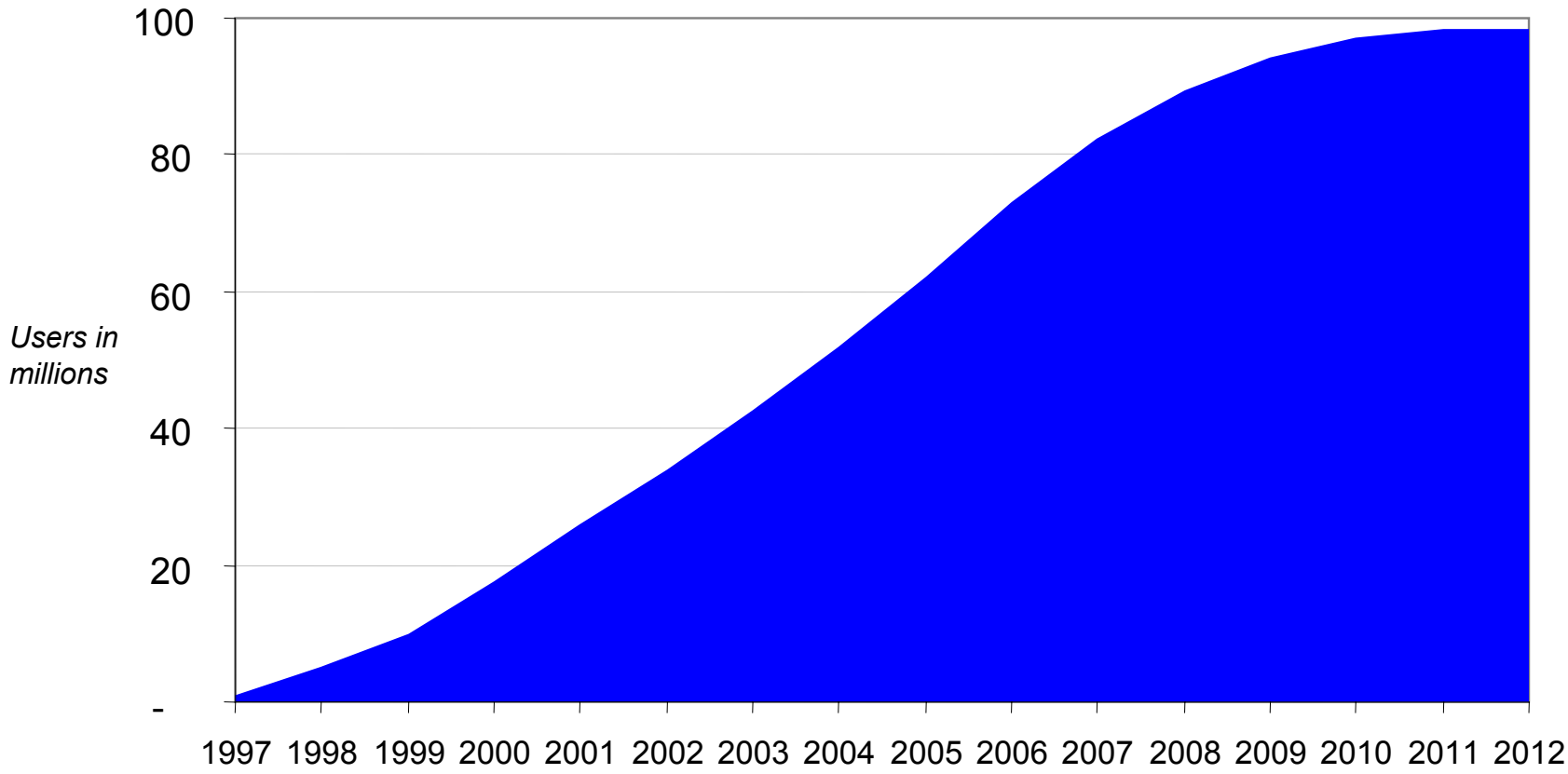


Limitless content
- eBook
- Music
- Video
- Maps …

1000's of Apps
- Productivity
- Games
- Travel
- Mess'g…

## Personal Devices ➔ Personal Solutions

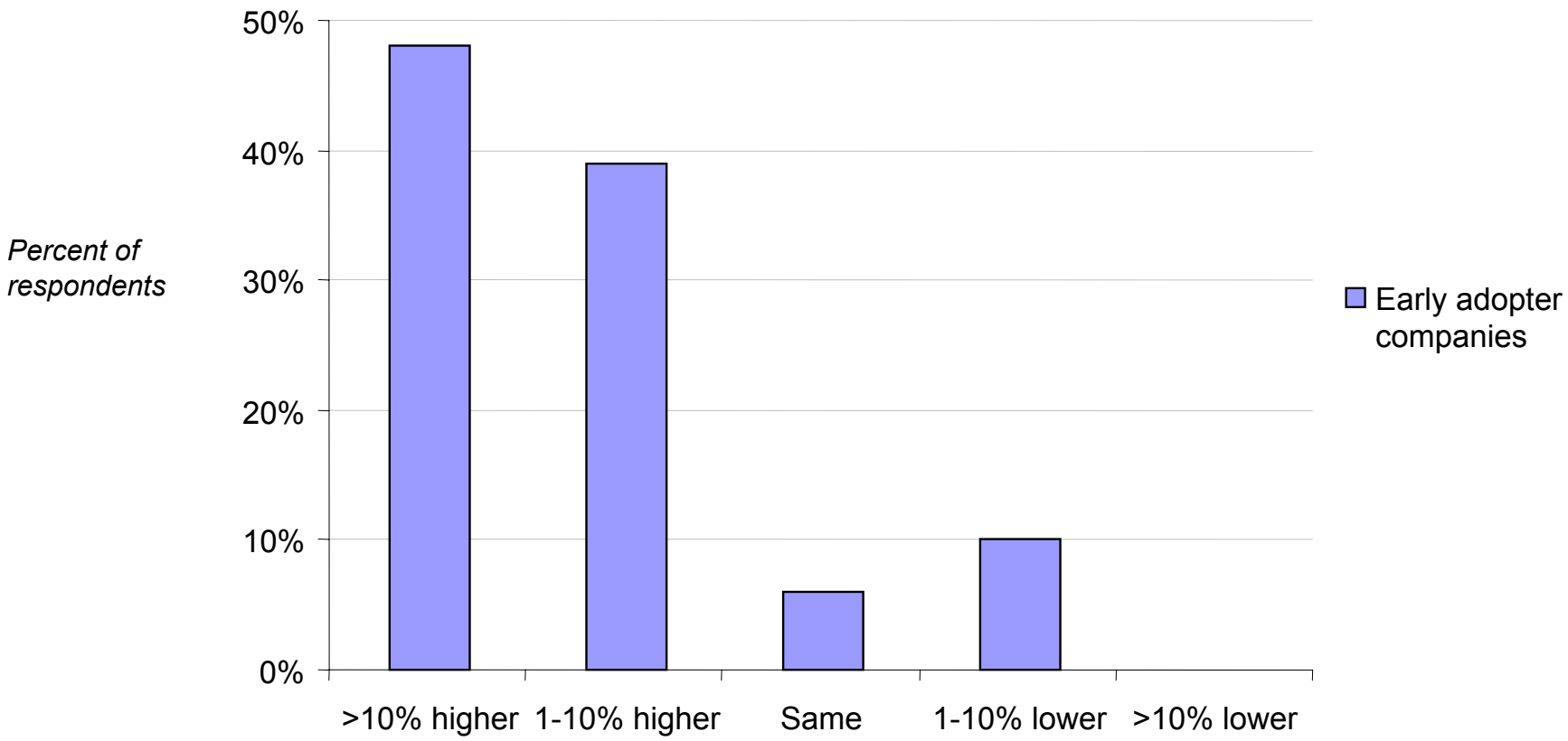
# Installed base of handhelds




*Source: IDC shipment estimates and PalmSource research*

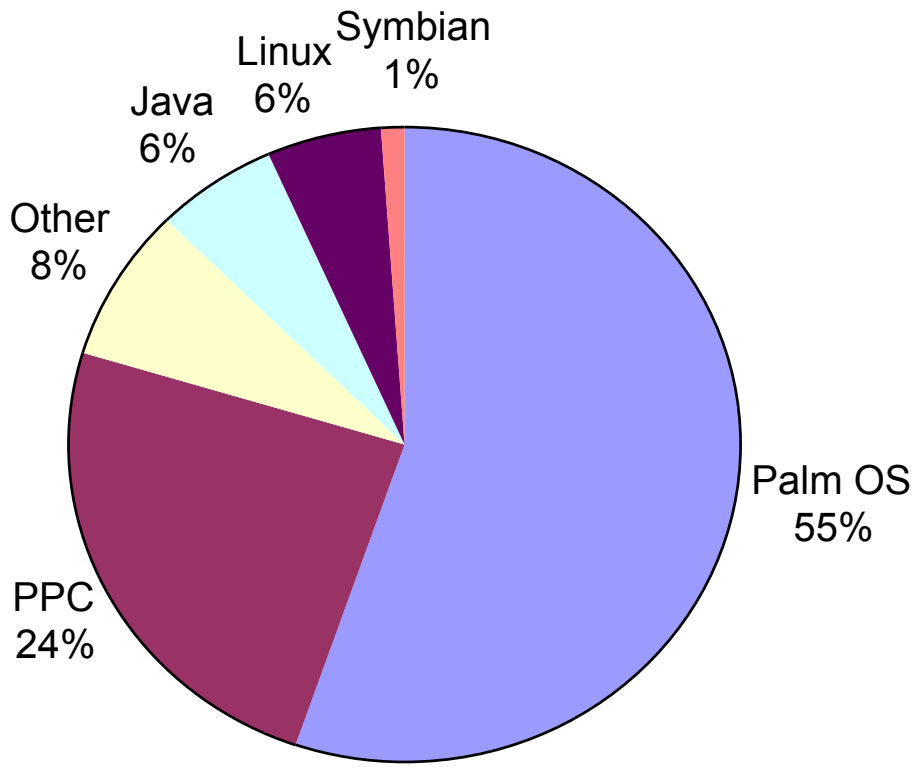
# IT spending to rise

## IT budget, 2003 vs. 2002.

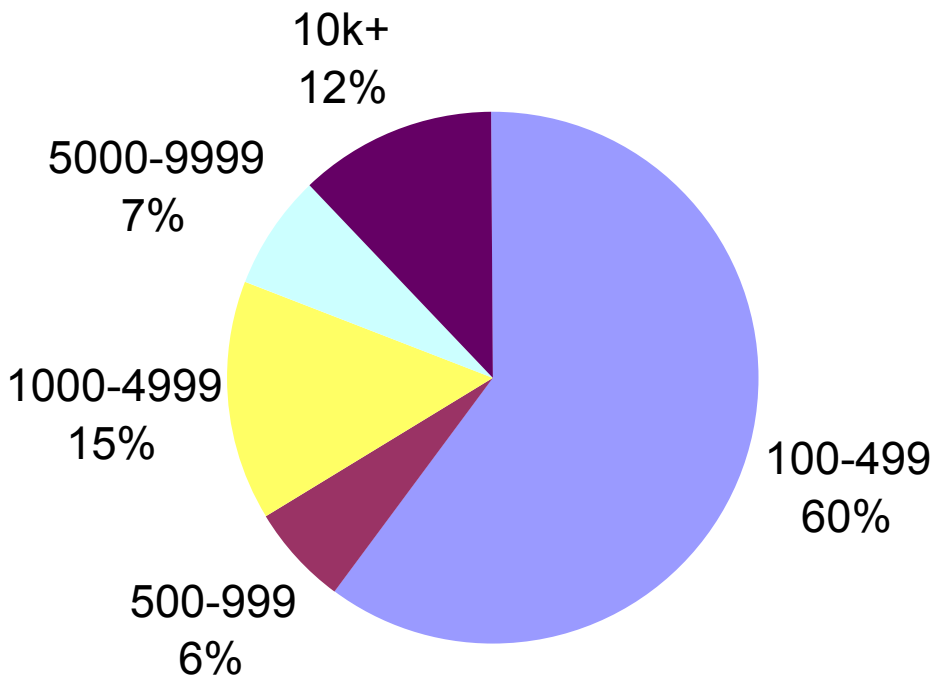



*Source: PalmSource enterprise study, 2003*

# Palm OS has 55% of corporate direct sales



# Majority of Enterprise Sales to Smaller Companies




*Percent of total business handheld sales, by company size in employees*



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# Leading, Expanding the Market for Handhelds

Todd Bradley, President & CEO
Palm Solutions Group

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# Palm Solutions Group

**Market Leader**

**Clear Market Focus**

**Operational Excellence**

**Huge Market Opportunity**

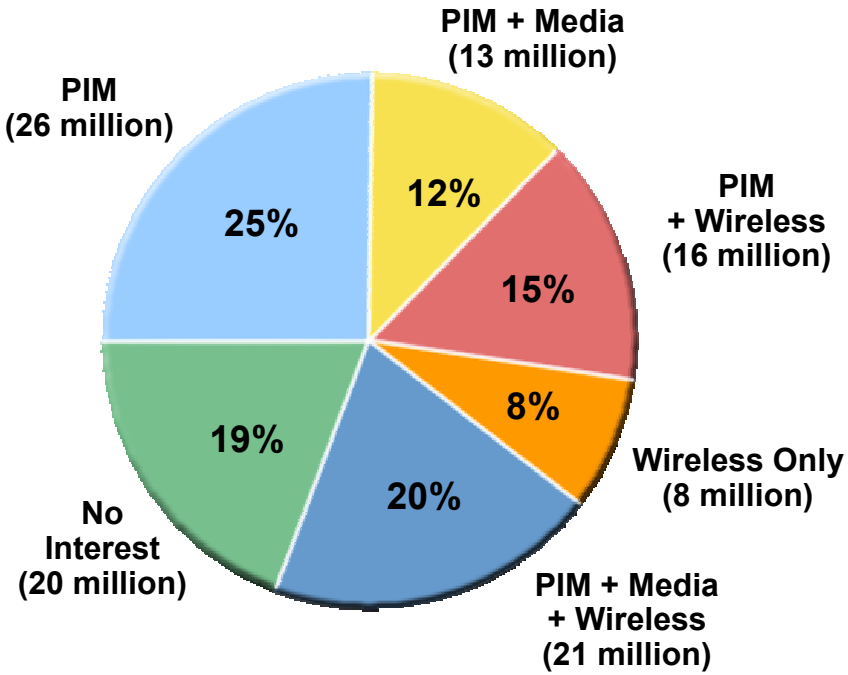
Zire™

TUNGSTEN™

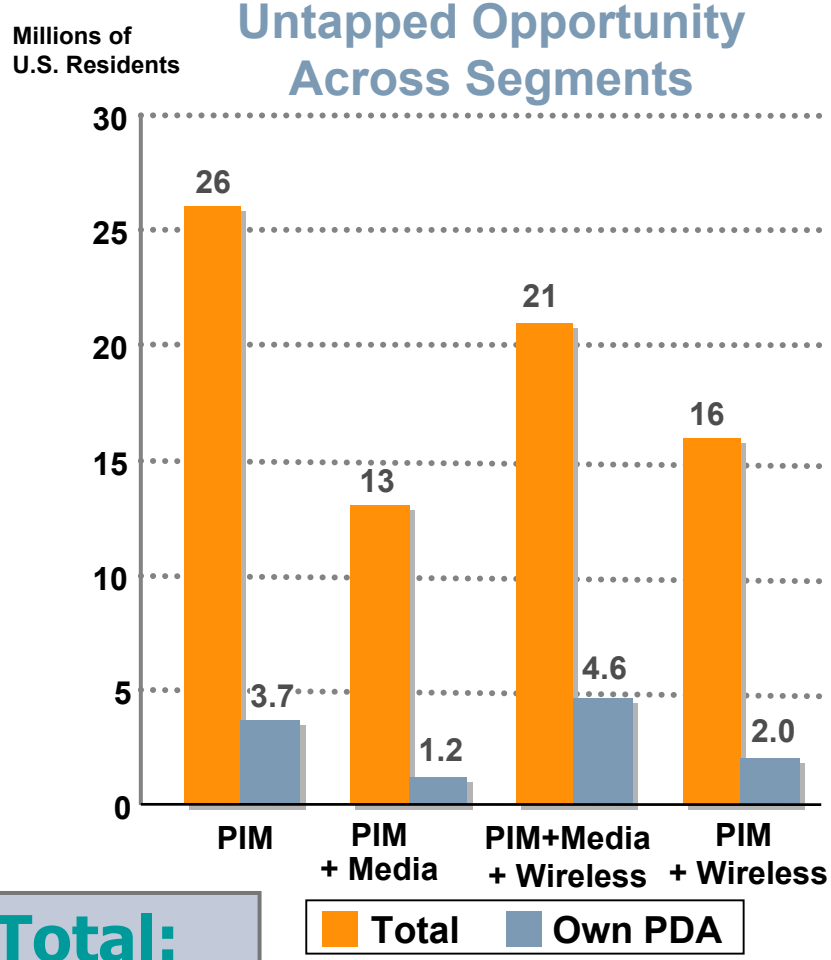


# What Matters in the Handheld Market

## Feature-Based Segmentation



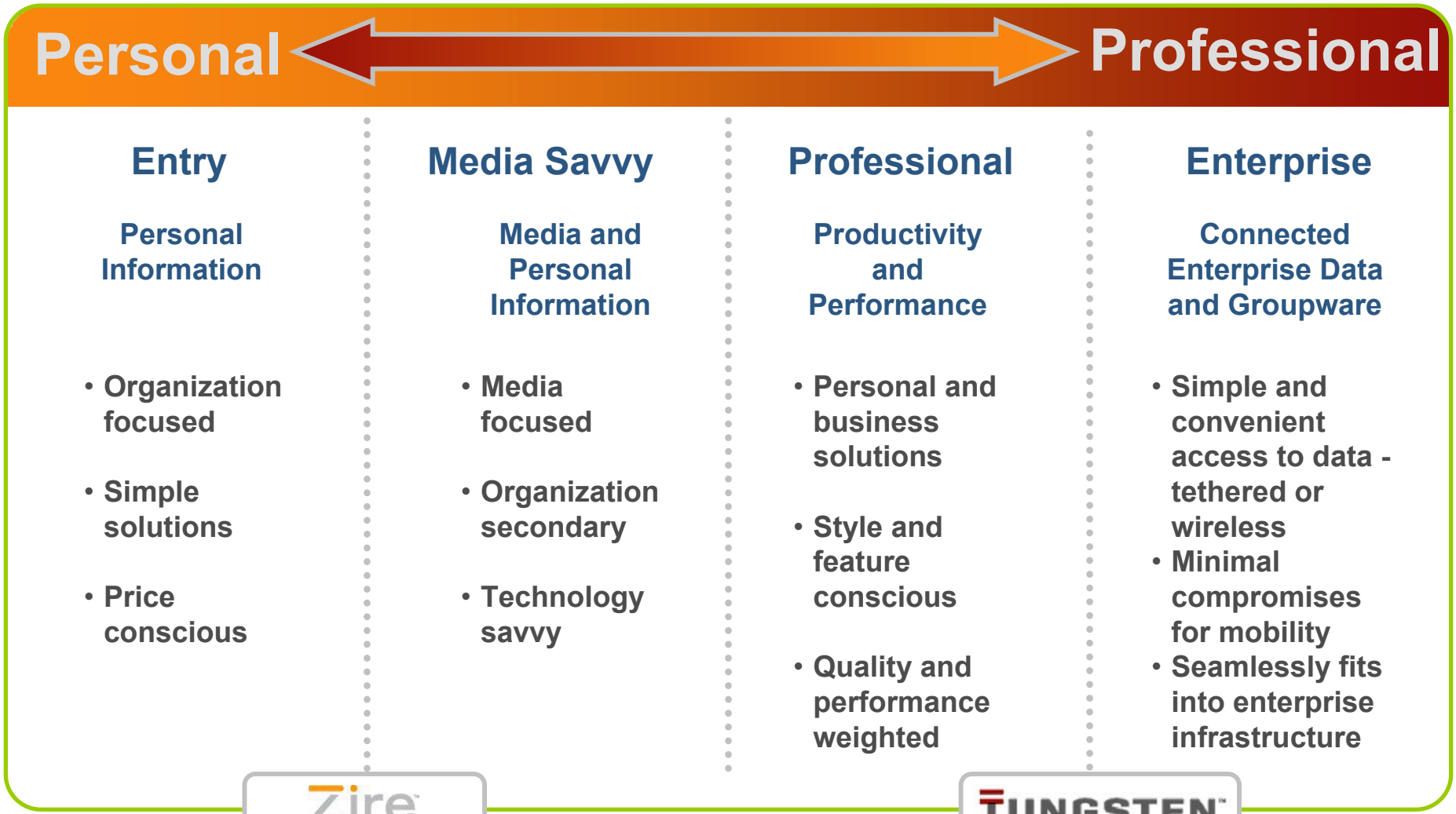

## Untapped Opportunity Across Segments




*Source: Russell Research, Customer Segmentation Study, 2002*

**Market Total: 104 Million**

# Market Focus and Segmentation



# The Product Range Customers Want

TUNGSTEN | T  TUNGSTEN | C  TUNGSTEN | W









$399 $499 $549*

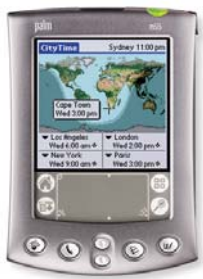
*does not include activation rebate

$99 $199 $299









Zire m130 Zire 71 m515



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# New Markets for the Palm OS

Alex Topschij, CEO
Aceeca Limited



Agriculture



Automotive



Maintenance



Medical

Each of these Markets contain thousands of niche opportunities

Petrochemical



Test & Measurement



Transportation



Utilities



## Hardware has to be designed for the environs it will be used in



# Meazura™ DEVELOPMENT SYSTEM

## THE ULTIMATE DEVELOPMENT AND PRODUCTION PLATFORM FOR PORTABLE APPLICATIONS

MANUFACTURED BY... ACEECA™
Design Excellence

palm POWERED

### Features (in brief)

- Interchangeable measurement modules
- Rugged industrial design
- PALM® OS
- Motorola 33MHz Dragonball® microprocessor
- 16 megabytes SDRAM
- 4 megabytes FLASH
- IRDA, RS232 and USB communications
- Wireless communication options
- 1900mAhr Lithium Ion rechargeable battery



### Look at the possibilities...

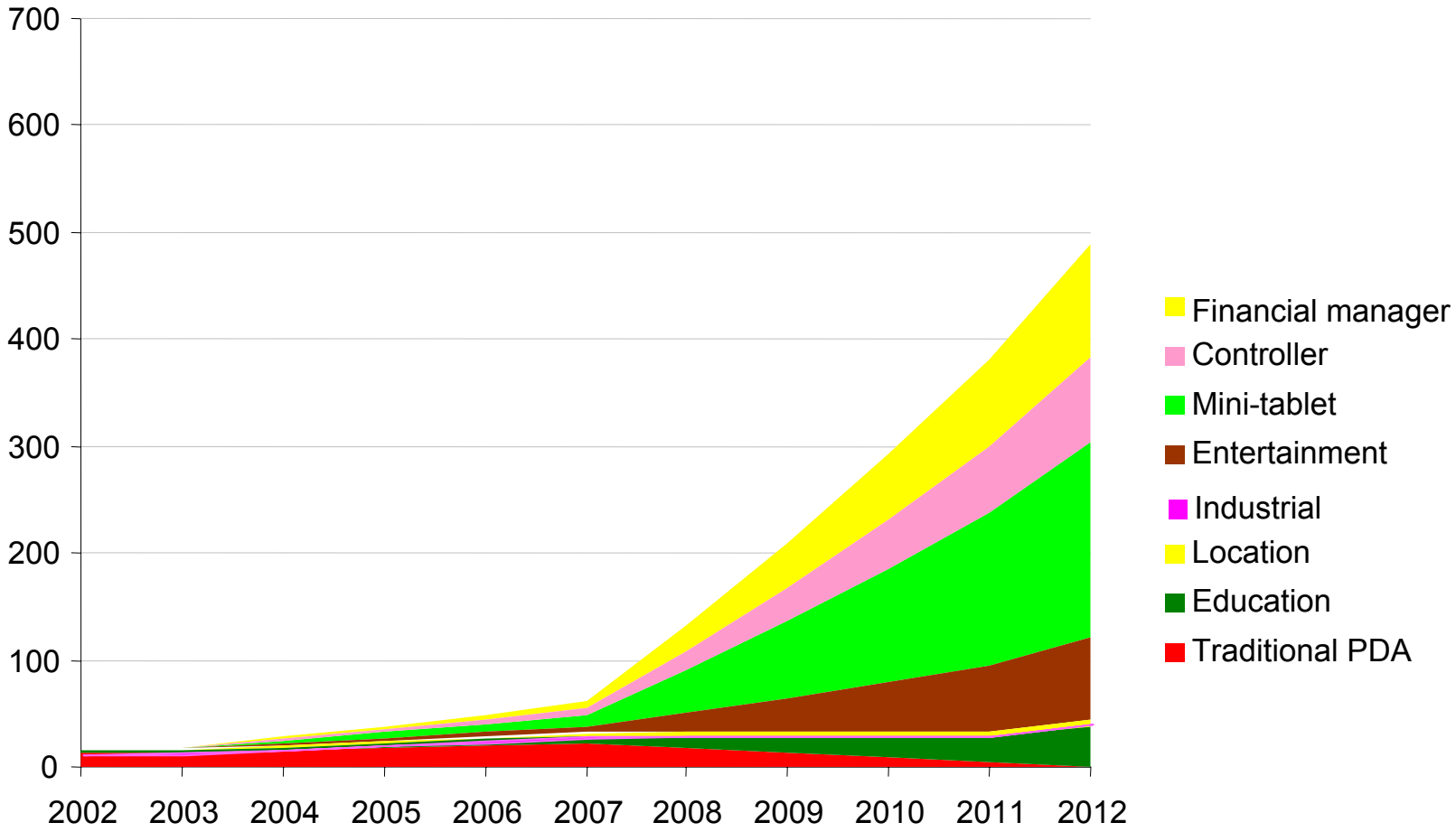
| | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Automotive | Bar Codes | Calibration | Conductivity | Current | Displacement | Flow | Force / Torque | Gas | Multi Purpose | Humidity | Level | Light |
| Medical | Moisture | Oxygen | pH / Ion | Power | Pressure | RF | Sound | Temperature | Vacuum | Vibration | Voltage | Water Quality |

**www.aceeca.com**

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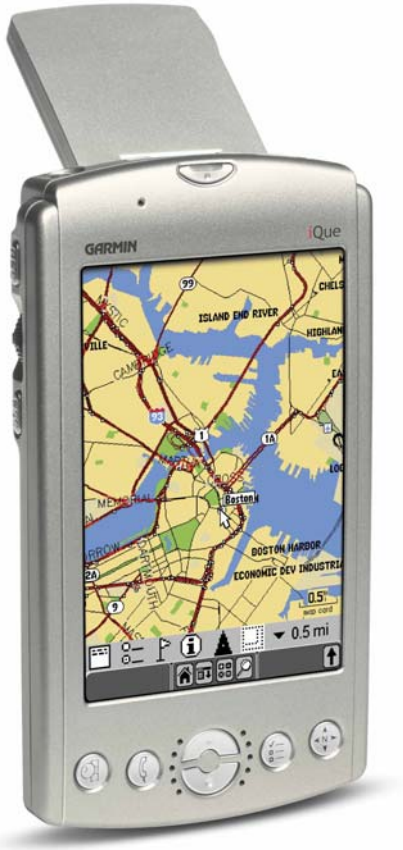
# Growth of the mobile data device market



# Garmin iQue 3600

## GPS-enabled Palm Powered handheld

- Palm OS 5
- Voice recorder
- Vibrating alarm
- Automatic route generation
- Turn-by-turn voice guidance




GARMIN®

www.garmin.com/products/iQue3600/



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# Go, Do, Play

Byron Connell, Co-Founder & Sr VP Marketing
Tapwave

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tapwave™

go. do. play.

# Tapwave's mission and market position

**mission** To change the way people play, learn and interact on the go.

**position** Tapwave gives technology enthusiasts the most fun and function in mobile entertainment gear.

# the leadership team



## Peng Lim: Founder, President & CEO

- VP Worldwide Product Development
- Vice President of Engineering
- Engineering Platform Director
- Director, Advanced Portables Engineering and Director, Mobile Systems Engineering



## Byron Connell: Founder, Sr. VP Mktg.

- VP Product Management & Planning
- VP Consumer Markets Group
- Acting VP Marketing
- Sr. Director of Product Marketing
- Product Marketing Group Manager
- Customer Requirements Mgr.
- Channel Development Manager
- Sales Development Manager



## Marian Cauwet: Sr. VP Engineering

- Vice President of Engineering
- Director of Engineering *Java Software*
- Director of Information Systems, Operations & Software
- Software Development Manager *Lisa Personal Office System*



## David Wenning: Vice President Sales

- Sr. Director of Channel Sales *United States, Canada & Latin America*
- Regional Sales Manager - *Consumer Division*
- Business Development Manager
- Sales Manager

# strategic partners

Investing in Tapwave's success and market opportunity.

**Activision**
Premiere video game content

**ATI**
High-performance graphics acceleration

**Fathammer**
3D graphics library, development tools & X-Forge™ game engine

**Infogrames**
Premiere video game content

**Midway**
Premiere video game content

**Motorola**
i.MX1 ARM9 processor & Bluetooth technology

**PalmSource**
Worldwide PalmOS license – the leading handheld computing platform

**Yamaha**
Stereo audio components for high-quality reproduction of music & gaming sounds.

# #1: the mobile gaming gap



**Sony PlayStation 2**
(Target Age Group:13-34)



**Microsoft Xbox**
(Target Age Group:16-26)



**Nintendo GameCube**
(Target Age Group: 12-17)

**78.2** Million Units (2000)
**101.9** Million Units (2004)

Age 34

**Market Gap**
No Mobile Gaming Solution for "Game Boy Graduates"

tapwave™
(Target Age Group: 18-34)

**25-50** Million Unit Potential (2004)

Stationary ●——— Mobile

- **Video Game Market: $50B ('01) - $86B ('06)**
- **Gaming hardware in 44% of U.S. households**
- **User profile:**
  - Average Age: 28
  - 47% of male college students play video games
  - 58% of most frequent console players over 18
  - 72% of most frequent PC players over 18



**Nintendo Game Boy Advance**
(Target Age Group: 6-14)

**24.6** Million Units (2000)
**50.0** Million Units (2004)
**150.0** Million Units since 1989

Age 6

# the developer perspective

"You have definitely identified a real hole in the market."

## Software Developers

MIDWAY
ASTRAWARE
ACTIVISION
OBILE IZARDRY
firepad
LandWare
SEGA
Fathammer
Mobile 3D and Game Technologies
EA .com
DIGITAL ECLIPSE
3DO

## Comments

"Analog navigation is important".

- "Graphics acceleration & native ARM performance"
- "A rotatable screen (landscape & portrait mode)

  …different games utilize different modes"
- "Simultaneous activation of 2-buttons"
- "Bluetooth for multi-player wireless gaming"
- "Screen size of 320x480, but 320x240 is OK"
- "Cross-platform persistent characters"
- "Help us reach the customer & get in the channel"

# introducing a new language to the handheld industry

Where differentiation begins….

## Organizer/PDA

**"Personal Productivity Tools"**

- The "Connected Organizer"
- PIM & synchronization
- Capturing, storing & viewing info
- Mobile professional
- High tech industry
- Wealthy (avg. income $90-100k)
- Middle Age (avg. age: 40.1)

## Communicator

**"Enterprise Work Tools"**

- The "Corporate Communicator"
- Convergence of PDA & phone
- Server synchronization
- "RIM Killer"
- IT & mobile professionals
- Standards, security, firewalls
- Carriers & subscribers
- Subsidies & monthly fees

## tapwave™

**"Playing, Sharing & Learning Tools"**

- Entertainment on the go, fun, leisure
- Multiplayer wireless gaming
- Interconnected & interactive
- Personal Community
- Younger consumers, students
- Personal enjoyment, pleasure, play
- Active, action-oriented, on-the-go
- Creative expression
- Sharing your life experience

# introducing Helix: next-generation mobile entertainment gear!

"Sleek, Smooth, Streamlined, Comfortable, Modern, Futuristic, Polished, Cool, Classy, Intriguing"

**My Games:** Console quality
single & multi-player wireless gaming




**My Videos:** Full Motion



Coming later 2003!



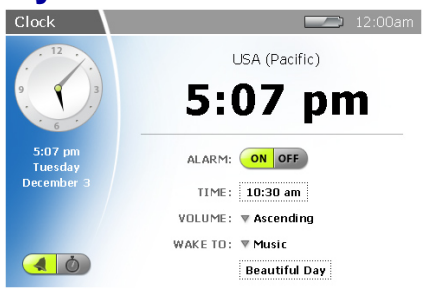
**My Music:** MP3 Player




**My Album:** Photo Viewer




**My Time:** Music Alarm Clock




**My Stuff:** Next Gen Launcher




* Note: Helix is the internal code name for the product




go.




go. do.




tapwave™

go. do. play.



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# The Next Step…

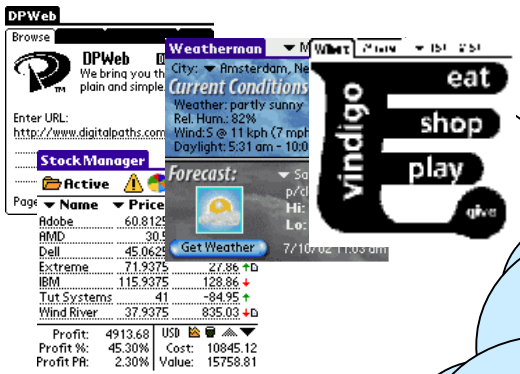
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**CEO**

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# The Next Step: Wireless!

Access to limitless content

Access to corporate, market data



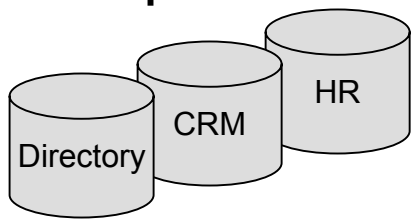



Enterprise Intranets

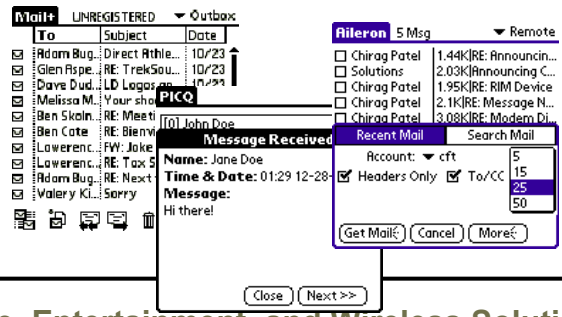
PSTN

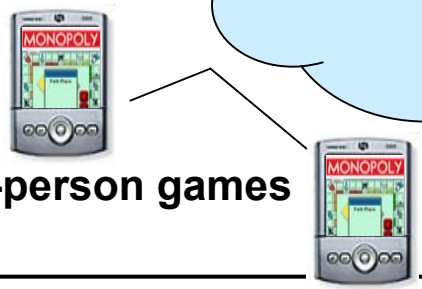
Internet

Corporate Data



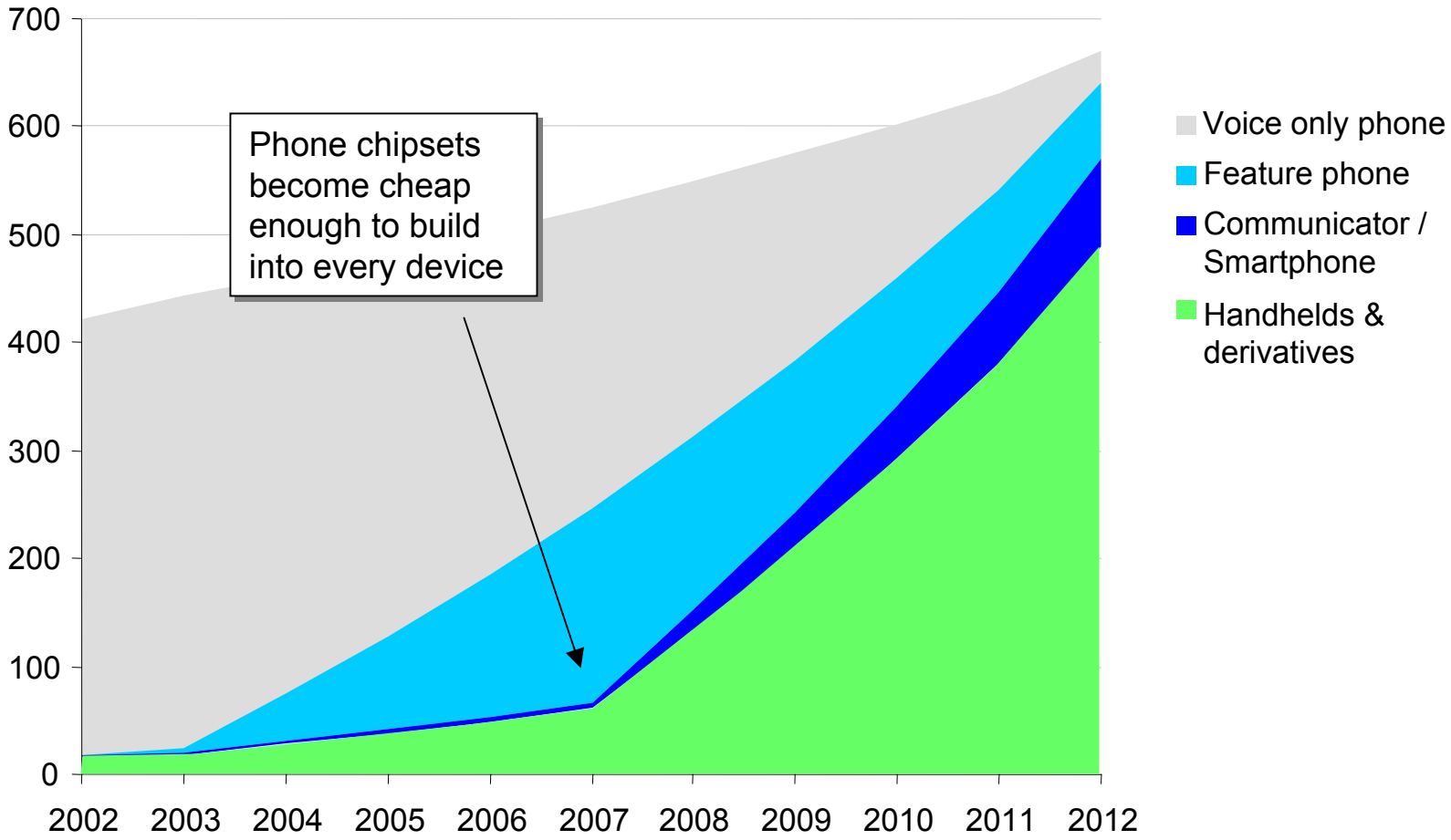

Mail and Messaging




Multi-person games

# Growth of the mobile data market



# 3rd Product Generation of PDA Phones and Smartphones



**2001**
**Qualcomm PDA Phone**



**2002**
**Handspring TREO**
**Kyocera QCP6035**












**2003**
**Samsung SPH-i330, SGH-i500, SPH-i500**
**Kyocera Smartphone 7135**

# Wireless Standards Today and Tomorrow

W-CDMA

GSM
GPRS



## Wide Area



Pager
networks



1xEV

CDMA
1X-RTT



## Local Area




## Personal Area



# Announcing:
# PalmSource and Research In Motion

- PalmSource and RIM to extend Blackberry® Wireless Email Solution
- BlackBerry Enterprise Server
  - Deployed for more than ten thousand Fortune 500 companies and government organizations
  - Enables behind-the-firewall, enterprise-ready email and corporate data connectivity



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# Getting There Together

# The Palm Economy Is Growing

SONY
SAMSUNG
symbol
AlphaSmart
handspring
palm Solutions Group
tapwave
ACEECA
palm
POWERED
HANDERA
KYOCERA
HuneTec
Human Network Technology
联想 LEGEND
www.legend.com
FOSSIL
GARMIN
GSL
權智掌上電腦有限公司
Group Sense PDA Limited
acer

# Palm OS Ready Partners

SAMSUNG

Texas Instruments

ALi

media Q

MOTOROLA

intel®

palm POWERED

# Palm OS Roadmap

**Palm OS 6**
*Communications*
Secure, Wireless, Interoperable, Media

**Palm OS 5**
*Performance*
ARM, Web Browser, VPN, Encryption

**Palm OS 4**
*Interoperable PIM*
Bluetooth, IR, 2-Piece Telephony



# OS 6: An Evolutionary Path to the Future



# Palm OS 5

## Performance

- ARM architecture support
- Up to 128MB RAM

## Security

- Data encryption - RC4, SHA1, RSA Verify
- SSL v3.0

## Connected

- Integrated Bluetooth
- POP / IMAP communications

## Interoperability

- Web Browser 2.0
- Web services through SOAP / XML
- Application compatibility through PACE



# Palm OS 6

## Robust new architecture

- Kernel and operating system designed from the bottom up to power secure, mobile, communicating devices
- Stability, modularity and flexibility designed in to support a range of geographies, devices and target market solutions
- New, improved tools for developers that make it easier to develop for Palm OS
- Backward compatibility for smooth application, content migration

**“The secure foundation for mobile communications”**

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Subject to change without notice.

# Announcing: Fast ARM Solutions Toolkit (FAST) and Metrowerks Codewarrier 9.2

## New tools from PSI and Metrowerks

- Easier development of ARM Native applications

## Ideal for compute intensive applications

- Multimedia, games, security, …

## Available: June 2003

## More Information in today's session:

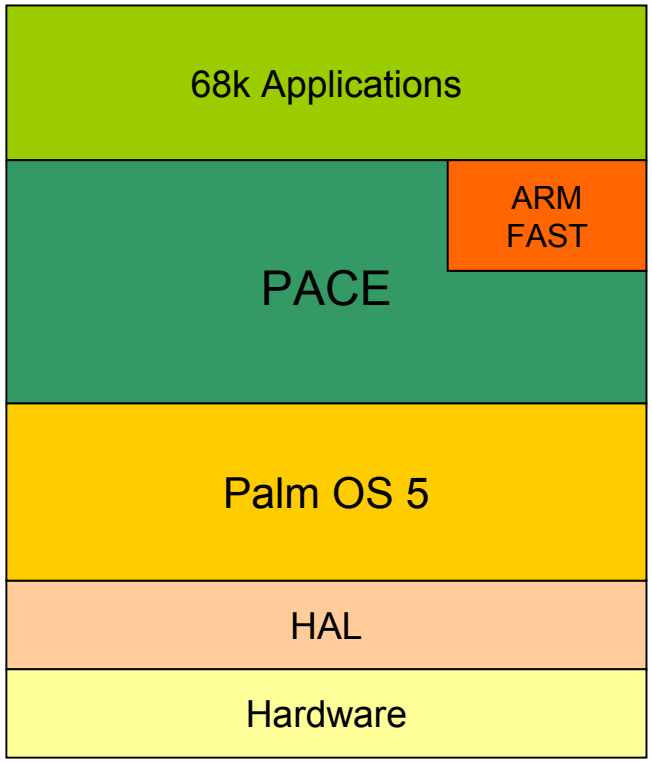
- Increasing Performance Using OS5 and ARM

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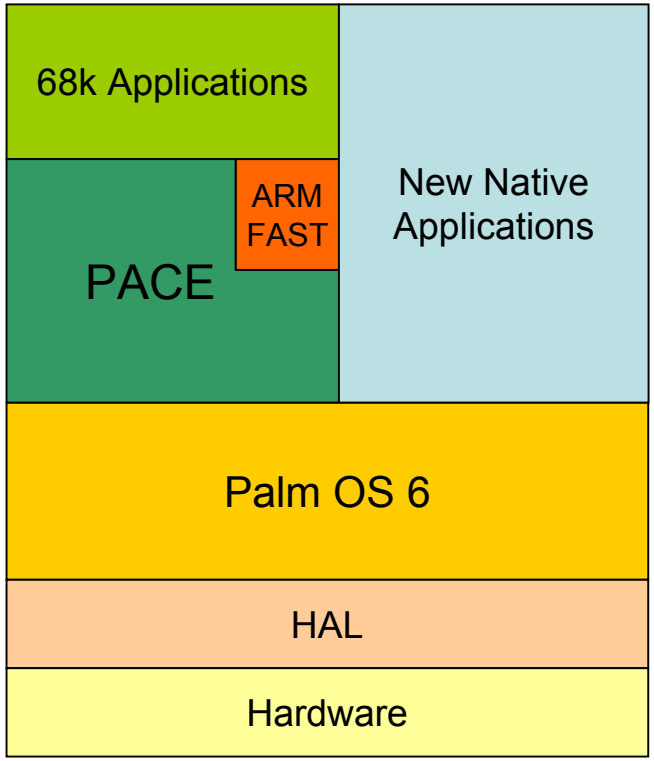
Subject to change without notice.

# Palm OS Architecture

## Palm OS 5




## Palm OS 6



# It's All About the Solutions

## Developers Create New Markets, New Device Categories



# Introducing…

palm OS®
Business Solution

**Powerful brand extension that conveys PalmSource's leadership role in the mobile enterprise**

- Application testing and market awareness program
- Early access to platform technology
- Catalog of enterprise applications for IT managers
- Available: Today

# Join the Palm OS Business Solutions Community

**Initial Members include:**

best software

CREDANT TECHNOLOGIES
Be mobile. Be secure.

DataViz
Compatibility. Instantly.

epocrates
INTUITIVE SOLUTIONS FOR THE MEDICAL MIND

iambic
Advancing your handheld experience

iGo
mobility products

Margi

Nexic

NOTIFY TECHNOLOGY

NSB
NS Basic Corporation

PUMATECH
Information Without Limits

SPONTANEOUS TECHNOLOGY

snapperfish

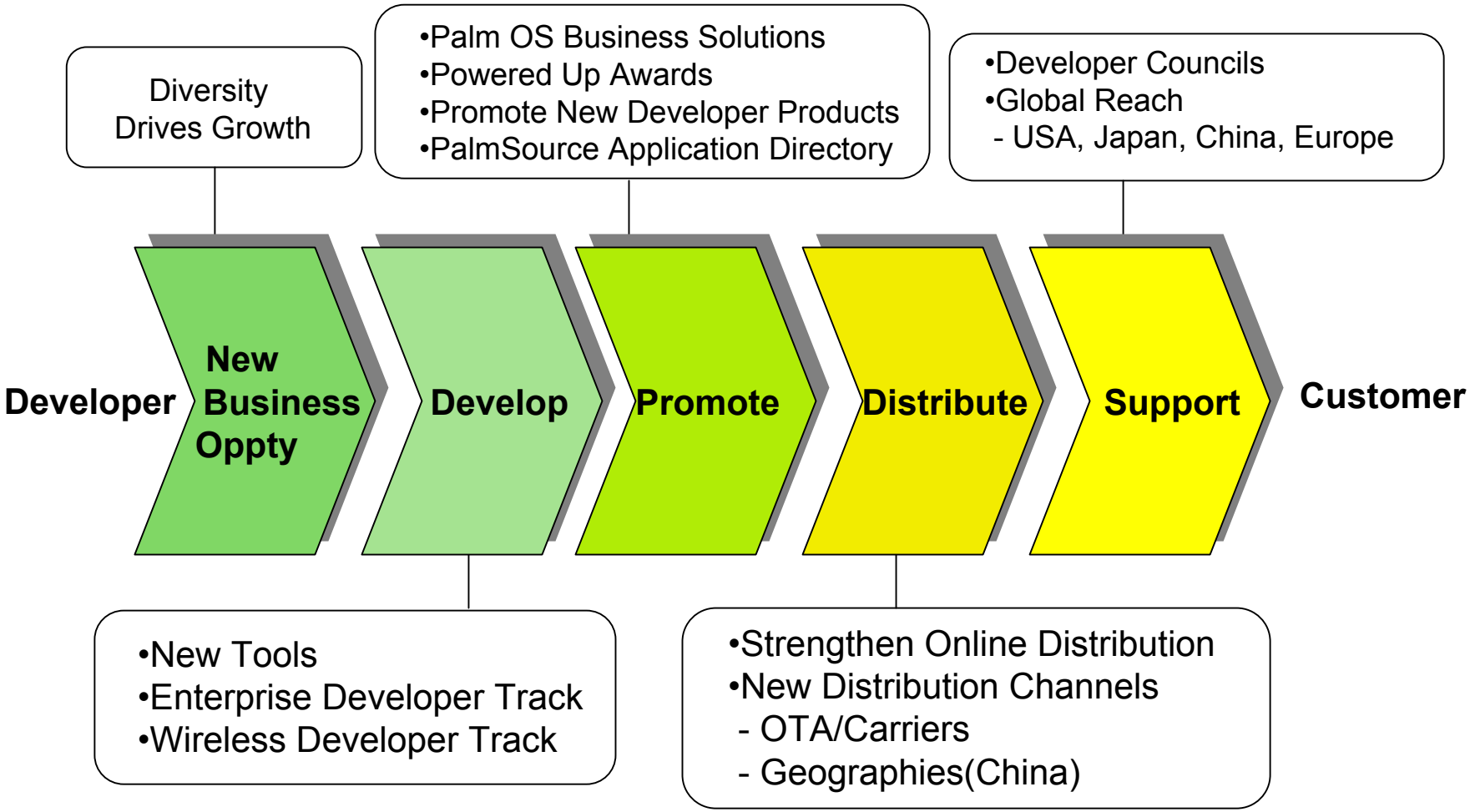
Trust Digital
TRUSTED MOBILITY SOLUTIONS

VISTO

XCELLENET

**…more on the way!**

# Working Together



# 2003 Powered Up Award Winners

**BEST PRODUCTIVITY CATEGORY & "BEST OF BEST"**

SNAPPERFISH LTD. SNAPPERMAIL

- Email app supporting native file formats




**BEST ENTERPRISE CATEGORY**

CUTTING EDGE SOFTWARE, INC. MOBILEFILE (iGO)

- Wireless remote file retrieval




**BEST LEISURE AND ENTERTAINMENT CATEGORY**

NOVIIMEDIA NOVIIREMOTE

- Ultimate remote control for home electronics




**BEST STUDENT CATEGORY**

ANDREW STOUT WINDWARRIOR

- A fast paced 2D side-scrolling game



# 12 New Palm OS Applications Launched Today

Acrocat Software: PDAbs 4.0

Anyware Mobile Solutions: REFORM V1.82

ElectricPocket: PIXER MMS

Handmark: BATTLESHIP

Llamagraphics: LIFE BALANCE 3.2

Mark/Space: THE MISSING SYNC

Outlook Entertainment: JUMBLE

PocketPurchase: POCKET PURCHASE

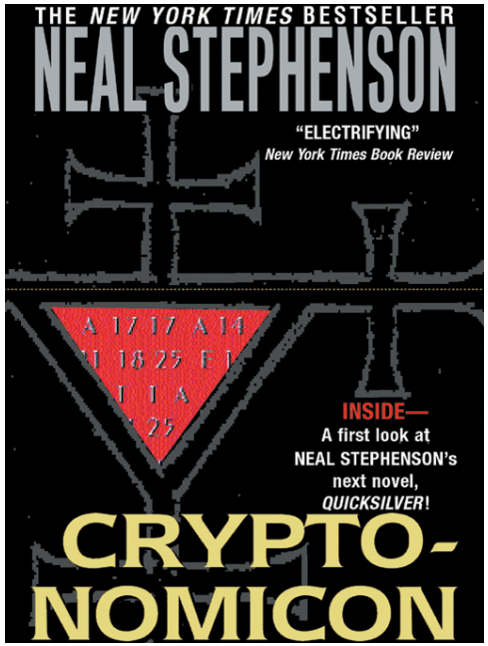
Poobah Industries: WINE MASTER

TealPoint Software: TEALSCRIPT 3.05

Ultrasoft: BRAINFOREST DELUXE

Zios: ESQUIRETIMEBOT

# Special Developer Offer for PalmSource Attendees from Palm Digital Media/PalmSource




The smash New York Times bestseller and cult classic has long been a hit with software developers. Dashing between World War II and the present day, *Cryptonomicon* is an epic adventure of codemakers and codebreakers; soldiers, hackers, spies, pirates, lovers, prisoners; power, secrets, conspiracies, great escapes -- and a buried fortune in gold.

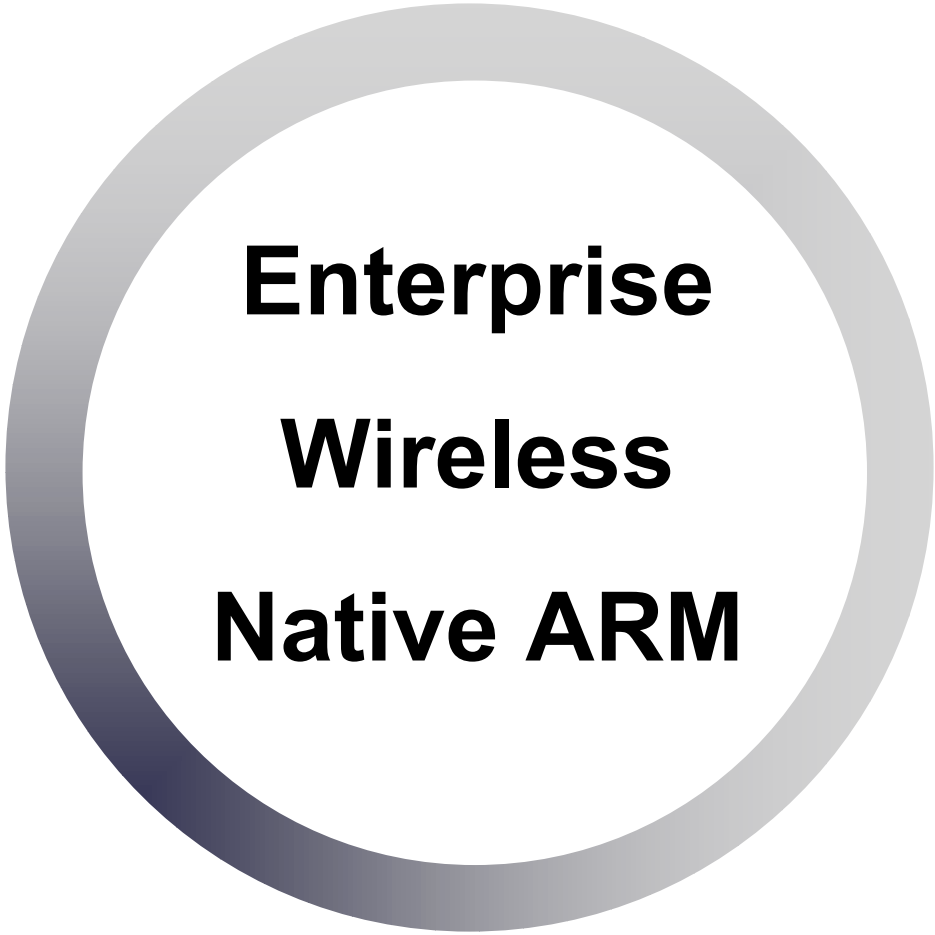
**Special offer for PalmSource attendees only…**

Free copy of *Cryptonomicon* by Neal Stephenson (special eBook edition)

Get your free copy at:

www.palmdigitalmedia.com/book.cgi/0060575484

(enter Discount Code OS5 to get your free copy then proceed through checkout)


Enterprise
Wireless
Native ARM




# Your world, wherever you are